Amendment of section 155.

47. In section 155 of the Income-tax Act, after sub-section (20), the following sub-section shall be inserted with effect from the 1st April, 2026, namely:—

"(21) Where the arm's length price is determined in relation to an international transaction or a specified domestic transaction under sub-section (*3*) of section 92CA for any previous year and the Transfer Pricing Officer has declared that an option exercised by the assessee is valid under sub-section (3B) of the said section in respect of such transaction for two consecutive previous years immediately following such previous year, the Assessing Officer shall proceed to re-compute the total income of the assessee for the said two consecutive previous years, by amending the order of assessment or any intimation or deemed intimation under sub-section (1) of section 143, as the case may be,—

(*a*) in conformity with the arm's length price so determined by the Transfer Pricing Officer under sub-section (4A) of the said section in respect of such transaction; and
(*b*) taking into account the directions issued under sub-section (5) of section 144C, if any, for such previous year,

within three months from the end of the month in which the assessment is completed in the case of the assessee for such previous year, and the first and second provisos to sub-section (4) of section 92C shall apply thereto:

Provided that where the order of assessment or any intimation or deemed intimation under sub-section (1) of section 143, for the said two consecutive previous years is not made within the said three months, such re-computation shall be made within three months from the end of the month in which such order of assessment or any intimation or deemed intimation under sub-section (1) of section 143, as the case may be, is made.".

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INCOME TAX DEPARTMENT